

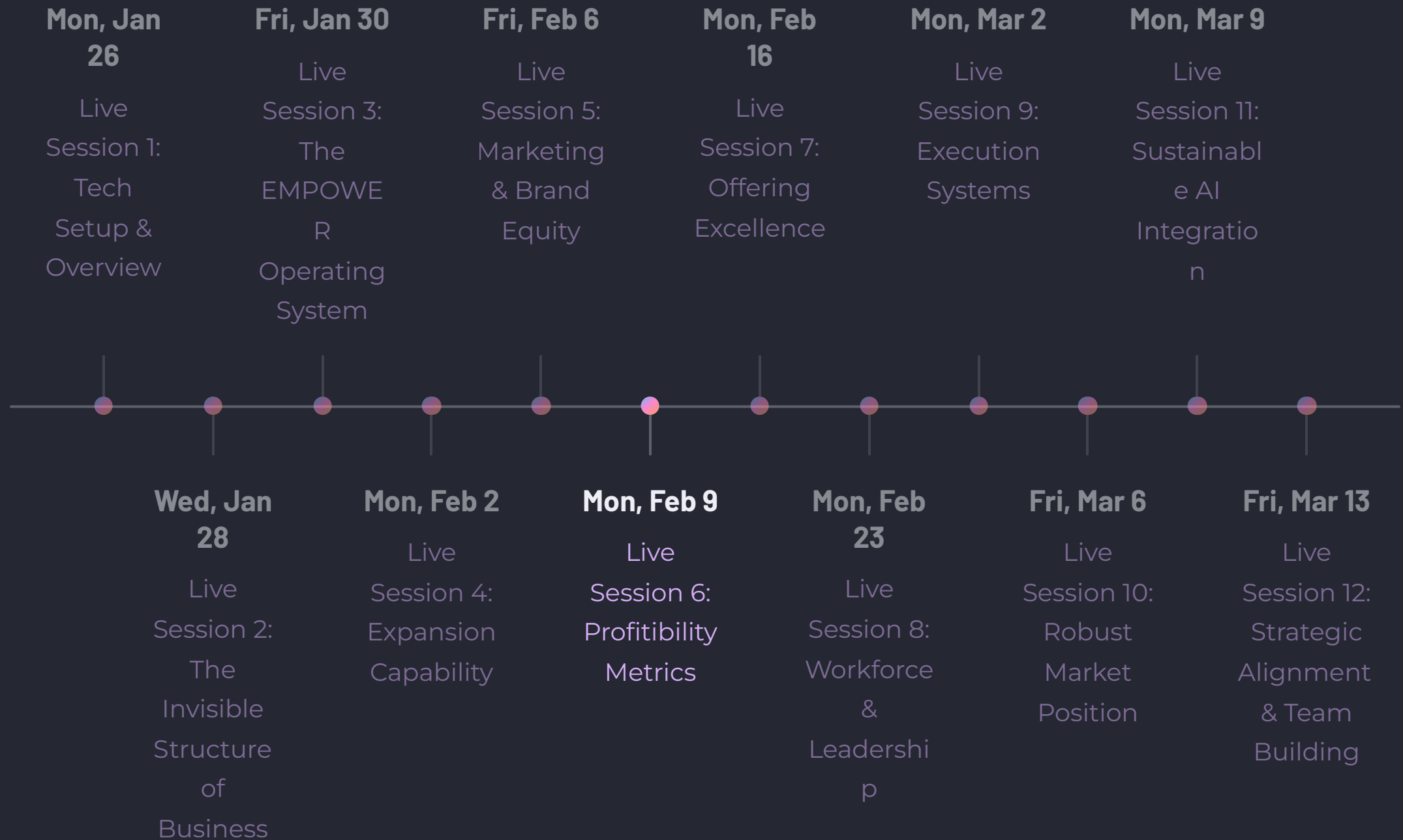


EMPOWER Labs

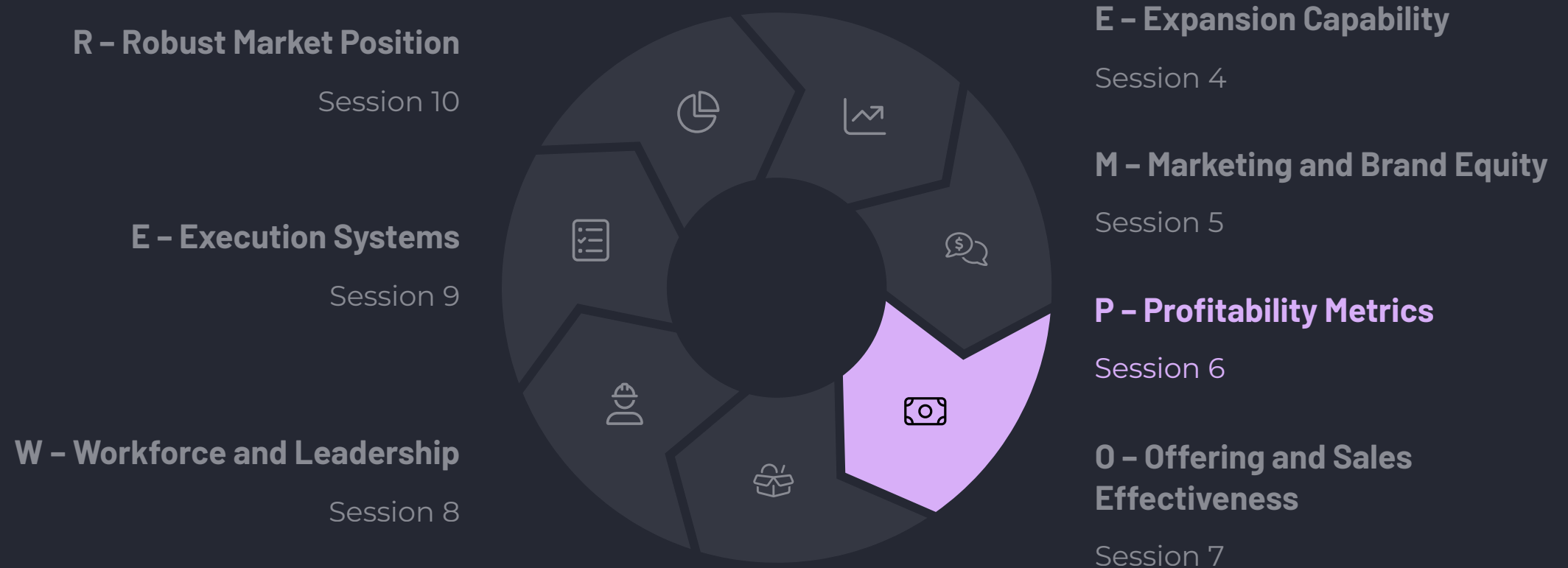
Session 6: Profitability Metrics

Today, we'll focus on your Financial Performance Management – the enabling process that provides the **financial systems for all business decisions and drives profitability.**

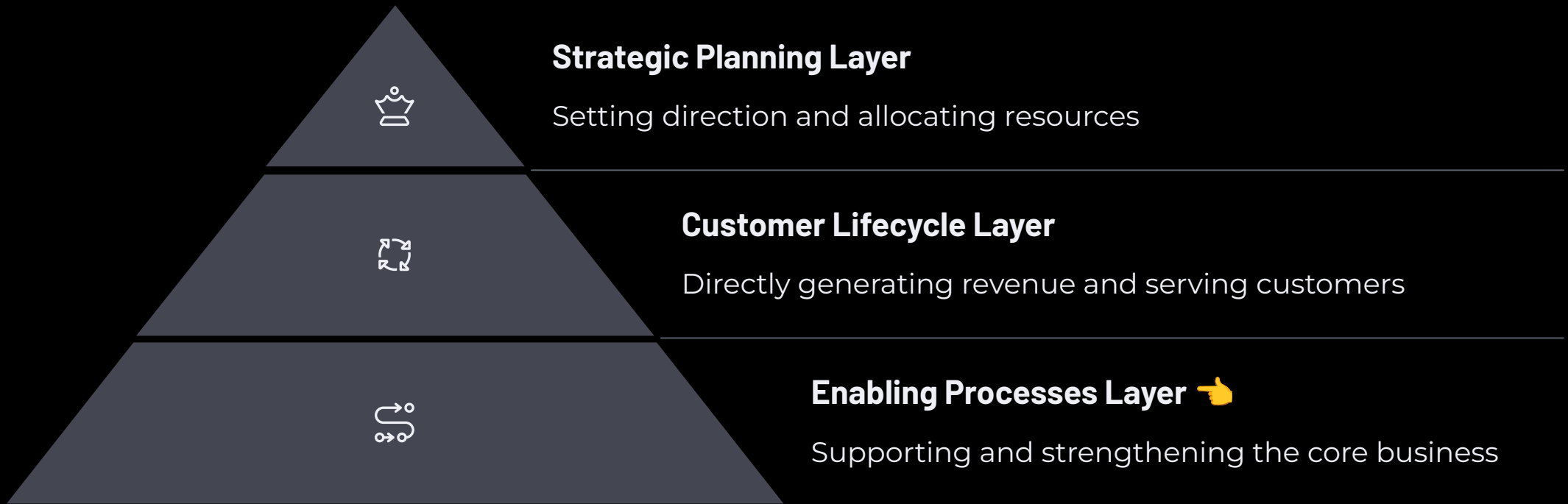
Program Timeline



EMPOWER Overview



3 Layers of Business Process



Milestones: Where You Should Be at This Point

-  — Crafted Your UVP v1
-  — Ran the Assessment (Market to Lead)
-  — Analyzed Your Unit Economics (Fractional CRO)
-  — Created the Level 1 & 2 SOP (Market to Lead)
-  — Researched Your Competitors (Optional)
-  — Drafted Inbound Content Marketing Material (Optional)

 **Poll:** Have you completed the exercises up until this session?

What You'll Get Out of This Session



1. The 7
Financial Levers

2. The Financial
Performance
Management
Hierarchy

3. Reference
Examples

Part 1: The 7 Financial Levers



The EMPOWER Connection

Financial Performance Management directly impacts business valuation through:

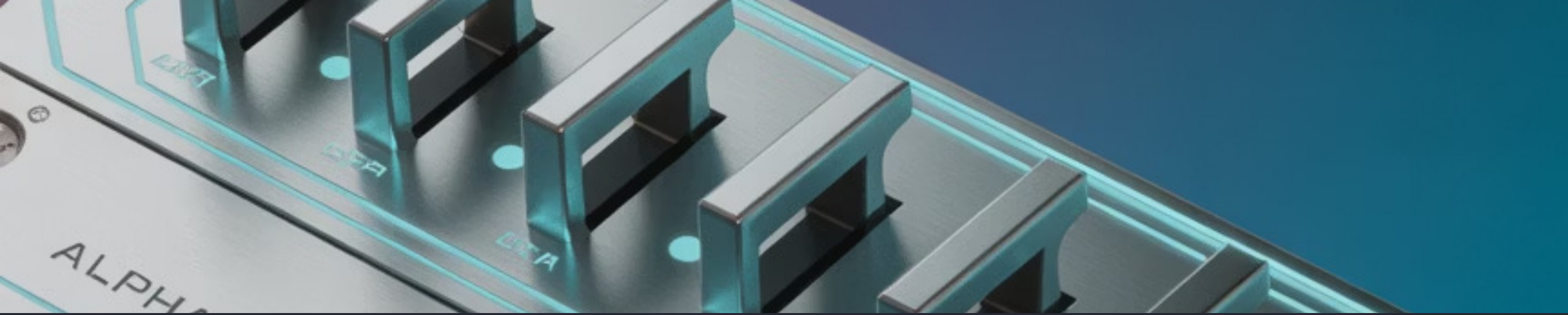
- Predictable cash flow generation
- Margin optimization and cost control
- Data-driven decision making
- Scalable financial systems
- Reduced financial risk



The Number One Rule of Business

Stay in the Game! Don't run out of cash.

(We will return to this over and over)



Financial Performance Management Fundamentals

7 Financial Levers at your disposal

1

Increase your prices

2

Increase your volume

3

Lower your costs

4

Reduce your expenses

5

**Reduce your inventory
/ WIP**

6

Get paid faster

7

Delay your payments

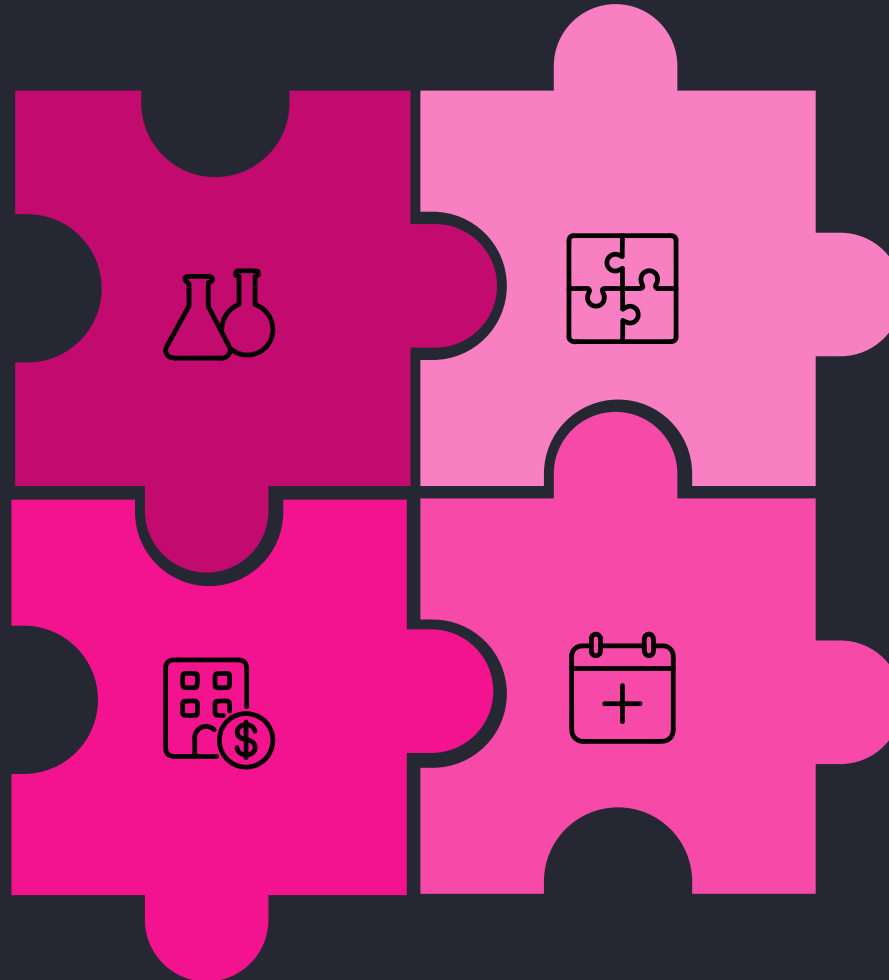
Lever #1: Raise Your Prices

Test with New Customers

Start price increases with prospects to avoid disrupting existing relationships

Bundle Strategically

Price based on customer outcomes and value delivered, not just your costs



Value-Based Pricing

Price based on customer outcomes and value delivered, not just your costs

Regular Price Reviews

Some clues include exceptionally high closing or conversion rates, never hearing about price as an objection, the key is to know your benchmarks for this, and test adjustments routinely

Pricing Strategy Impact



1% price increase = >1% profit increase



Price increases are often the fastest path to profitability improvement



Your UVP directly impacts your pricing power





Example

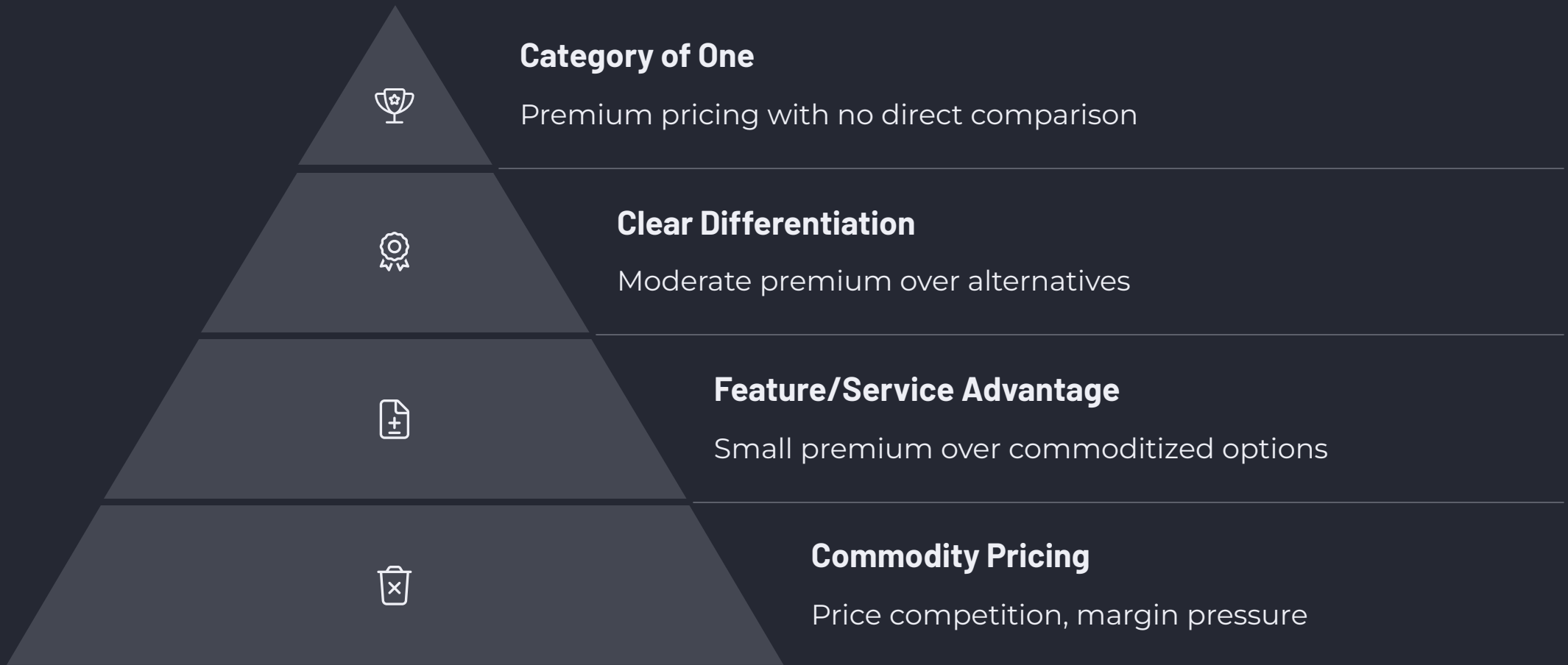
Before

- Revenue = \$100
- COGS = \$75
- Gross Profit = \$25
- Gross Margin = 25%

After a 10% Price Increase

- Revenue = \$110
- COGS = still \$75
- Gross Profit = \$35
- Gross Margin = 31.8%
- **Profit increase = \$10 / \$25 = 40%**

The Pricing-Profit Connection: Pricing Power Hierarchy



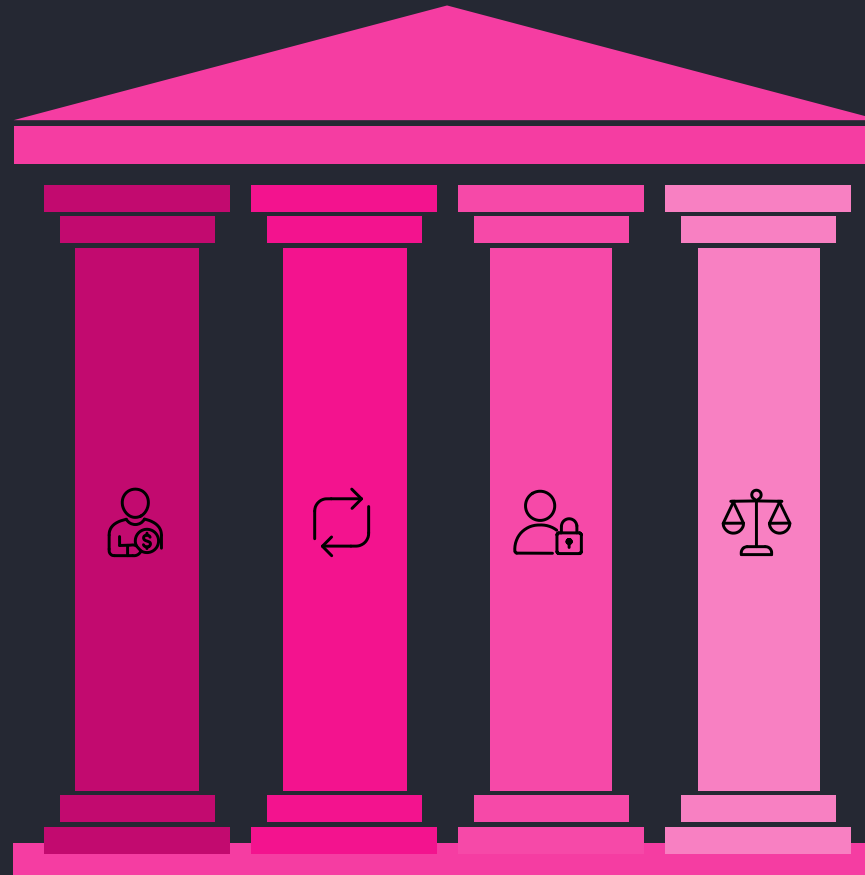
Lever #2: Increase Your Volume

Optimize Sales Funnel

Focus on conversion rates at each stage rather than just more leads at the top

Referral Programs

Incentivize customers for organic growth



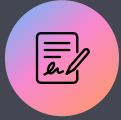
Cross-Sell Existing Customers

It's 5-7x cheaper to sell more to current customers than acquire new ones

Monitor CAC vs LTV

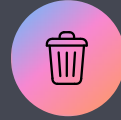
Keep acquisition cost well below lifetime value

Lever #3: Lower Your Costs



Renegotiate Supplier Contracts

Review annually and leverage volume for better pricing and terms



Eliminate Waste in Processes

Map workflows to identify bottlenecks and unnecessary steps



Automate Repetitive Tasks

Reduce labor costs through technology while maintaining quality



Make vs Buy Analysis

Regularly evaluate what should be done in-house vs outsourced

Lever #4: Reduce Your Expenses

Tie Compensation to Variable Success

Align pay with performance through bonuses and profit sharing

Treat Monthly Software as Annual Costs

Require higher approval levels for subscriptions to prevent SaaS creep

Leverage Temp Workers Strategically

Build contractor ecosystems for project-based and seasonal work

Audit Recurring Expenses Quarterly

Cancel unused subscriptions and consolidate redundant services

When to Choose Better Terms vs. Better Price

Scenario	Choose Better Terms	Choose Better Price
Cash is tight	✓ Delay preserves runway	✗ Discount is wasted if you run out of cash
Payback is fast (e.g. high-margin sales)	✓ Longer terms = cash float	✗ Immediate discount has less impact
You're growing fast	✓ Preserve working capital	✗ Cash may be more valuable than savings
You have lots of cash	✗ Terms matter less	✓ Lock in lowest cost
Discount is steep (e.g. >5–10%)	✗ Take the price	✓ The savings outweigh the float

Lever #5: Reduce Your Inventory



Just-in-Time Ordering

Reduce carrying costs and obsolescence by ordering based on actual demand

Complete Projects Faster

Accelerate work-in-progress to billing stage through better project management

ABC Inventory Analysis

Focus management attention on high-value items that tie up the most cash

Improve Demand Forecasting

Use historical data and trends to optimize inventory levels

Lever #6: Get Paid Faster



Collect Upfront Payments

Ask for 50%+ upfront from new customers and use milestone-based billing



Tighten Payment terms

Move to Net 15 or better instead of standard Net 30 terms



Automate Billing and Collections

Set up recurring billing and systematic follow-up on overdue accounts



Accept Multiple Payment Methods

Avoid checks, offer credit cards, ACH, and financing options like Klarna

Lever #7: Delay Your Payments



Delay AP Strategically

This is about maintaining relationships while extending float smartly. Don't abuse it—transparency and communication go a long way.



If You're in Early Growth and Need Cash Flexibility: Pay monthly

If you're stable and prioritizing team satisfaction: bi-weekly.



Consider Paying Salaried Employees Monthly

And hourly employees bi-weekly.



With Suppliers/Vendors, Cheaper Isn't Always Better

Sometimes better terms is better than better price.



Pay Vendors with Credit Cards



Negotiate Longer Payment Terms

Q&A

What questions do you have about the 7 financial levers?





Part 2: The Financial Performance Management Hierarchy

The Financial Performance Management Hierarchy

Hygiene

- **Transactional Day to Day:** Payables, Receivables, Invoicing, Payroll, etc. *Handled by Bookkeepers, Clerks, or automated with AI*
- **Daily operational activities** that capture and process financial transactions accurately and efficiently.
- **Reporting & Compliance (pt. 1):** Cash Flow Forecasts, Budgets, Policies, Systems. *Handled by Controller, Senior Accountant, CPA, or automated with AI*
- **Foundation of accurate, timely financial information** that enables strategic decision-making and ensures compliance.

Insights

- **Reporting (pt. 2):** Analysis, Performance Review, Strategic Planning. *Collaborative effort between reporting and strategy teams and AI*
- **Bridge between raw financial data and strategic decision-making** through meaningful analysis and actionable insights.
- **Strategy Financial Modeling**, Critical Decision Making, Financing, Senior Team. *Handled by CFO, Director of Finance and enhanced by AI*
- **This is where the Seven Financial Levers operate** - strategic decisions that drive business performance and cash flow optimization.

Hygiene

Daily Transactional Foundation



Cloud-Based Automated Systems

Implement integrated systems for accounting, expense management, payroll, invoicing, and task management.



Electronic Payments

Utilize electronic payments for collections and vendors to improve cash flow timing and reduce administrative overhead.



Standardized Daily Workflows

Establish consistent daily workflows for invoice processing, payment collection, expense approvals, and data entry.



Real-time Transaction Recording

Ensure all financial activity is captured immediately and accurately with real-time transaction recording.

Hygiene

Weekly & Monthly Reporting Structure

Cash Flow Projections

Weekly if cash is tight, monthly minimum for all businesses

Income Statement Analysis

Compare budget vs. actuals with monthly and year-to-date views

Monthly Business Reviews (MBRs)

Conduct with leadership team; don't carry struggles alone

AR & AP Aging Reports

Monitor collection efficiency and payment timing

Hygiene

Quarterly Systems & Compliance

CPA Chart of Accounts Review

Ensure your chart of accounts structure supports strategic financial decision-making.

Monthly Balance Sheet Reconciliation

Track assets, liabilities, and equity changes over time for financial health.

Cash Conversion Cycle Tracking

Monitor cash conversion cycle, crucial for inventory and receivables-heavy businesses.

Quarterly Recurring Charges Audit

Identify and eliminate unused subscriptions and services to optimize spending.

Hygiene

Annual Planning & Risk Management



Annual Budget & Variance Tracking

Create a baseline for steering toward financial goals, monitoring monthly variances.



Burn Runway Calculation

Calculate cash divided by monthly operating expenses (6 months acceptable, 12 months ideal).



3-Month Minimum Buffer

Maintain at least a 3-month cash buffer, larger for volatile revenue or fixed-cost growth investments.



P&L by Accountability Areas

Organize your Income Statement by who owns each line item for clear financial responsibility.

Insights

Daily & Weekly Performance Tracking



Real-time Cash Position

Monitor available cash and upcoming obligations to maintain liquidity.



Daily Sales & Collections

Track revenue flow and payment patterns to understand daily performance.



Weekly Expense Run-Rate

Analyze spending velocity against budget to control costs.



Customer Payment Behavior

Identify early warning signs of collection issues from payment patterns.

Insights

Monthly Strategic Metrics

$$\text{GrossProfitMargin} = \frac{\text{Revenue} - \text{COGS}}{\text{Revenue}}$$

If >70%, need high margin/growth/LTV)

Shows which offerings drive profitability
(exclude fixed costs)

$$\text{EBITDAMargin} = \frac{\text{EBITDA}}{\text{Revenue}}$$

$$\text{OperatingExpenseRatio} = \frac{\text{OperatingExpenses}}{\text{Revenue}}$$

$$\text{ContributionMargin} = \frac{\text{Revenue} - \text{VariableCosts}}{\text{Revenue}}$$



If you don't know what a good benchmark is for your business – ask AI.

Insights

Business Intelligence (Monthly to Quarterly)



Unit Economics Analysis

Analyze Customer Lifetime Value (CLV), Customer Acquisition Cost (CAC), and the 90-day CLV:CAC ratio to understand customer profitability.



Efficiency Metrics

Measure Gross Profit/EBITDA per Employee and Revenue per Employee to gauge operational efficiency and productivity.



Budget Variance Analysis

Identify performance gaps in budget vs. actuals (in both dollar amounts and percentages) and determine their root causes.



Prior Year Comparison

Track growth patterns and seasonal trends by comparing current performance metrics to those of previous years.

Insights

Strategic Modeling & Planning (Quarterly to Annually)

Breakeven Point Analysis

Calculate the point where total costs and total revenue are equal, essential for understanding profitability and setting production targets.



Growth Rate Tracking

Monitor business expansion by tracking growth in Gross Profit for operational insights and EBITDA for valuation purposes.

Revenue Concentration Risk

Assess dependency by analyzing the percentage of revenue generated from your top 1, 3, or 5 customers to manage business risk.



Net Revenue Retention (NRR)

For subscription models, measure customer value growth by tracking expansion, upsells, and churn over time.

Insights

Long-term Strategic Insights

Pricing Impact Modeling

A 1% price increase often leads to a greater than 1% profit increase, demonstrating the power of pricing strategy.

Top Strategic Observations

Provide a written summary of key financial findings and actionable recommendations for executive decision-making.



Investment Decision Framework

Invest in growth only when you have a 3+ month cash buffer, unless Customer Acquisition Cost (CAC) payback is under 30 days.

Industry Benchmark Comparisons

Compare your financial metrics to sector standards to ensure competitive positioning and identify areas for improvement.

Q&A

What questions do you have about the financial performance management hierarchy?



Part 3: Reference Examples

Profitability Metrics



Gross Profit Margin

$(\text{Revenue} - \text{Cost of Goods Sold}) \div \text{Revenue}$



EBITDA Margin

Earnings before interest, taxes, depreciation, amortization $\div$ Revenue



Contribution Margin by Product/Service

Shows which offerings drive profitability. Don't include fixed costs here.



Breakeven point

Your breakeven point is the minimum number of sales needed to cover all your fixed costs – the point where you stop losing money and start making profit.



90-day CV:CAC

❗ If you don't know what a certain benchmark is, or you don't know what a good benchmark is for your business – ask AI

The Breakeven Calculation

Understanding your breakeven point is crucial for financial survival and planning:

$$\text{Breakeven Point} = \frac{\text{Fixed Costs}}{\text{Contribution Margin}}$$



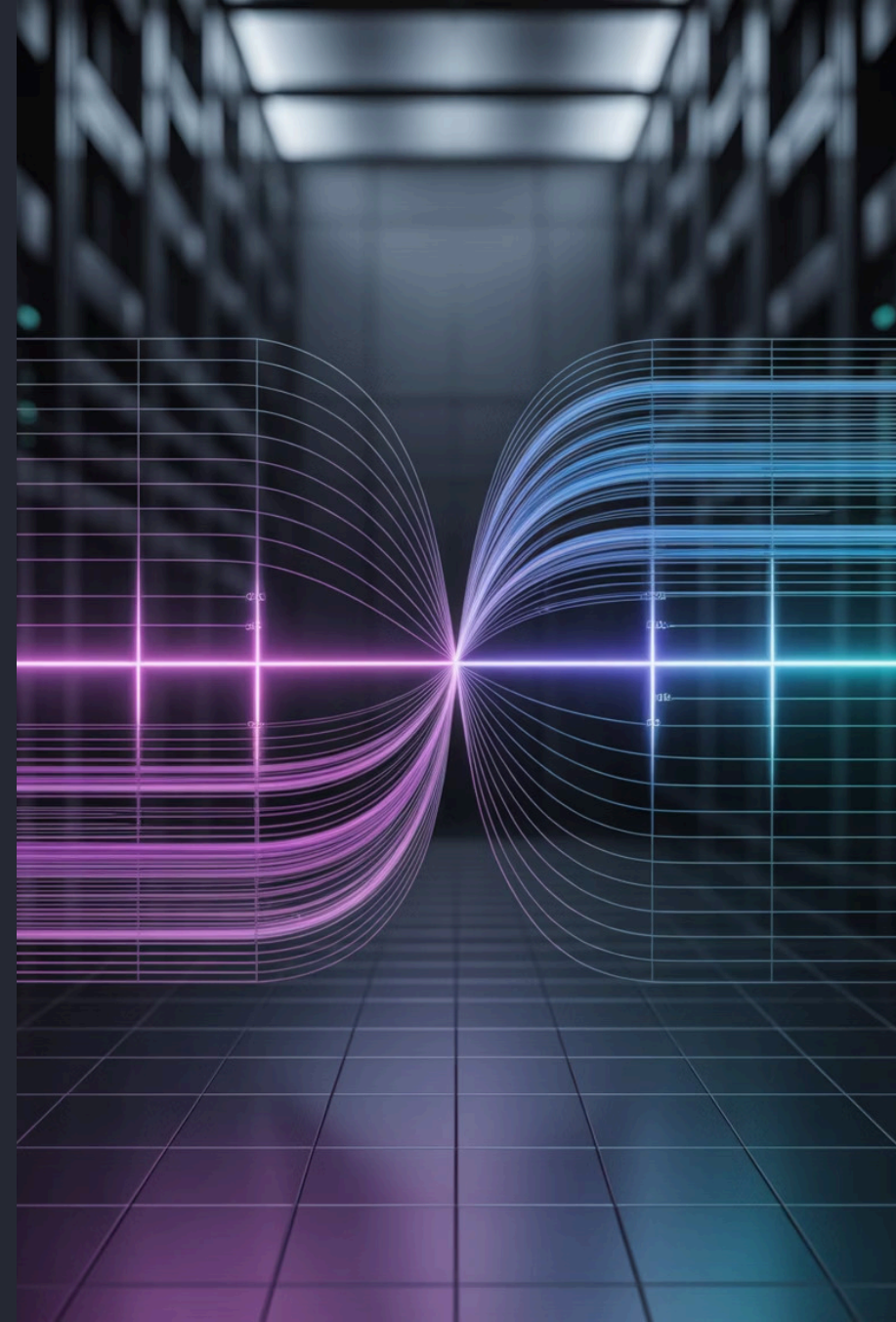
Fixed Costs

Expenses that don't change with sales volume (rent, salaries, insurance).



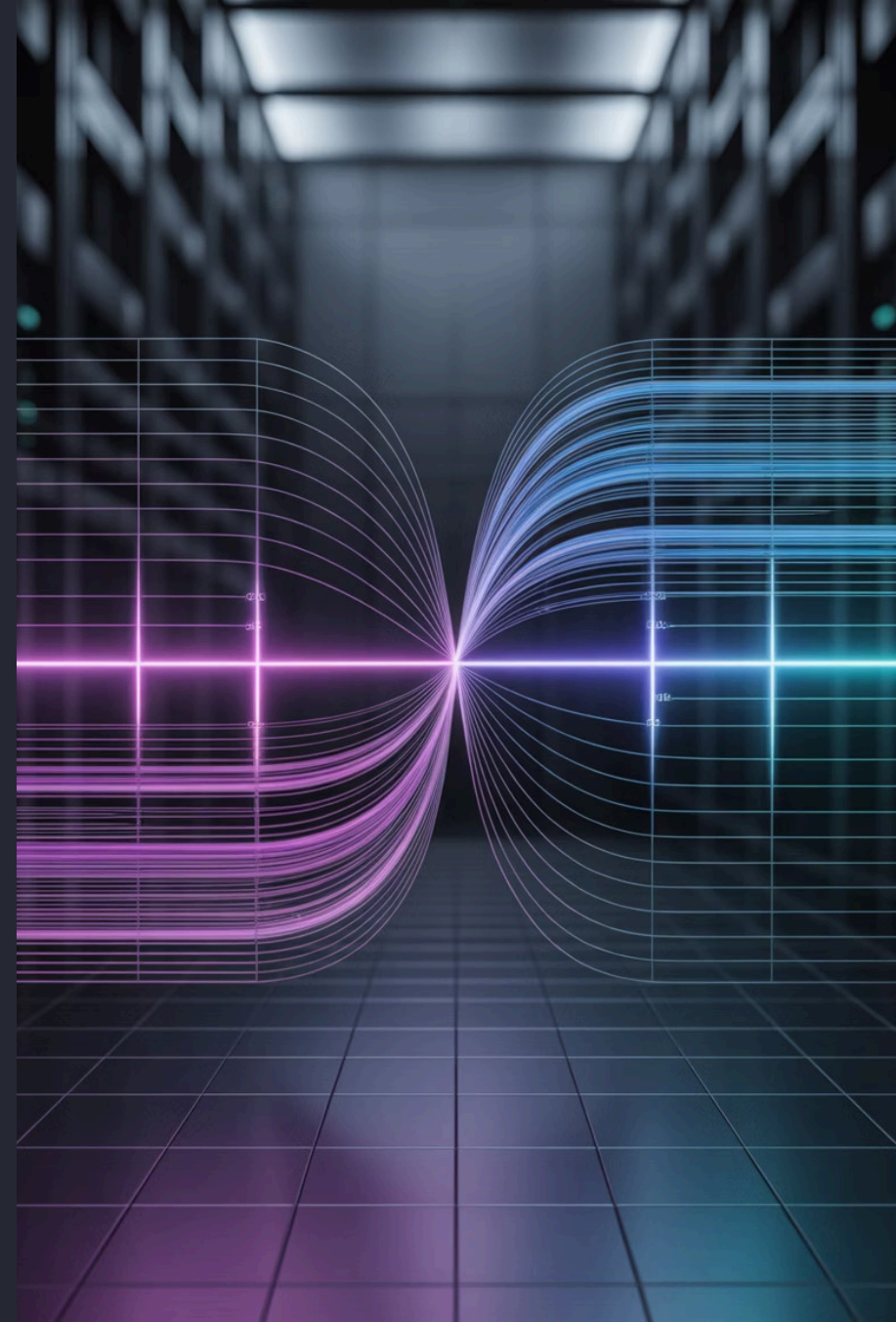
Contribution Margin Per Unit

Selling Price - Variable Costs per Unit



Example of Breakeven Point

- Monthly fixed costs: \$20,000
- Product sells for: \$1,000
- Variable costs per sale: \$400
- Contribution margin: \$600
- **Breakeven point: $\$20,000 \div \$600 = 34$ sales per month**



Efficiency Metrics



Gross Profit/EBITDA per Employee

Gross Profit/EBITDA ÷ Number of Employees



Operating Expense Ratio

Operating Expenses ÷ Revenue. Varies by industry. If OpEx > 70%, you need high margin, high growth, or high LTV to justify it.

ⓘ If you don't know what a certain benchmark is, or you don't know what a good benchmark is for your business – ask AI

Growth & Sustainability Metrics



Customer Lifetime Value (CLV)

Total value of customer relationship



Burn Runway

$$\frac{\text{Cash}}{\text{Monthly Operating Expenses}}$$

(no revenue)

6 months is acceptable, 12 months is ideal. #1 rule of business is to not run out of cash! Don't reinvest in growth if you're under this number.



Operating Runway

$$\frac{\text{Cash}}{\text{Monthly Burn} - \text{Monthly Gross Profit}}$$

This shows how long you can cover operating expenses with your cash plus gross profit contribution.

ⓘ If you don't know what a certain benchmark is, or you don't know what a good benchmark is for your business – ask AI

Growth Rate: Track YoY & MoM Growth



Gross Profit (GP) dollars for operational tracking

Use GP as it best reflects scalable contribution for most operational tracking.



Track EBITDA for valuation or sale

Monitor EBITDA when optimizing your business for future valuation or sale.



Prioritize revenue growth in specific scenarios

Focus on revenue growth only if you're an early-stage venture seeking market share or future funding, or a software/productized service company prioritizing MRR growth.

What About Investing in Growth?



3-Month Minimum Buffer

And this should be larger if...



You have volatile or seasonal revenue, or...



Growth investment is fixed-cost (i.e. hiring or leases)

The only exception: If your CAC payback period is under 30 days

But still be careful and make small bets first. Remember, your number 1 priority is to stay in the game.

Industry/Business-Specific Metrics

Every industry has unique KPIs that provide deeper insights into financial health. Identify yours to gain competitive advantage.



Cash Conversion Cycle (CCC)

- Especially if business involves inventory or receivables
- Shows how quickly cash is recovered.



Payback Period on CAC

- Especially useful if you're spending on acquisition but not yet breakeven on each new customer.



Revenue Concentration

- % of revenue from top 1, 3, or 5 customers
- Important if you're exposed to customer churn risk



Net Revenue Retention (NRR)

- Useful for subscription or repeat-purchase models
- Measures expansion vs churn over time

Financial Systems & AI Integration

Traditional Financial Management

- Monthly P&L review
- Basic expense tracking
- Annual budgeting
- Reactive decision making

AI-Enhanced Financial Management

- Real-time profitability analysis
- Predictive cash flow modeling
- Automated variance analysis
- Proactive opportunity identification

Q&A

Your turn to ask your questions!



Your Next Steps

01

Run the Financial Health Diagnostic

Identify your biggest opportunities for profitability improvement and pricing optimization.

02

Run the Assessment (Financial Performance Management)

Assess your organization's performance, gauge the dependence on the owner, and identify areas for improvement.

03

Create the Level 1 & 2 SOP (Financial Performance Management) (Optional)

Create a map of the process (Level 1) as well as blueprints for each functional area within the process (Level 2)

04

Create an Interactive Artifact with Claude (Optional)

Discover how you can use Claude to easily create interactive artifacts that visualize data.

05

Use Claude as Your Fractional CFO (Optional)

Have open-ended conversations with Claude (like you'd have with a human CFO) to get guidance on financial questions.

Office Hours

Wednesday Nov. 12th at 10 am PT / 1 pm ET

Live Session 7: Offering & Sales Excellence

Monday Feb 16 at 10 am PT / 1 pm ET

